

GCE A LEVEL

A520U30-1A

PREDICTED 2025 – SET A

ECONOMICS – A level component 3

Evaluating Economic Models and Policies

Predicted Paper – Advanced

2 hours 30 minutes

ADDITIONAL MATERIALS

A WJEC pink 16-page answer booklet.

INSTRUCTIONS TO CANDIDATES

Use black ink or black ball-point pen. Do not use gel pen or correction fluid.

You may use a pencil for graphs and diagrams only.

Answer **both** parts of **one** question from Section A.

Answer **both** parts of **one** question from Section B.

Answer **both** parts of **one** question from Section C.

Write your answers in the separate answer booklet provided, following the instructions on the front of the answer booklet.

Use both sides of the paper. Write only within the white areas of the booklet.

Write the question number in the two boxes in the left-hand margin at the start of each answer, for example **1 1**.

Leave at least two line spaces between each answer.

INFORMATION FOR CANDIDATES

The number of marks is given in brackets at the end of each question or part-question.

You are reminded of the necessity for good English and orderly, clear presentation in your answers.

SECTION A

Answer **both** parts of **one** question from this section.

Either,

Tech giants accused of using "dark patterns" to manipulate consumer choices

1 1 Explain what is meant by information asymmetry and how it can lead to market failure. **[10]**

and

1 2 Discuss the extent to which behavioural economics has challenged the assumptions of traditional neoclassical economics. **[20]**

Or,

Premier League clubs investigated by CMA over potential anti-competitive agreements

2 1 Outline what is meant by game theory and explain its application to oligopolistic markets. **[10]**

and

2 2 Evaluate whether price discrimination is always against the consumer interest. **[20]**

SECTION B

Answer **both** parts of **one** question from this section.

Either,

Bank of England independence under political scrutiny after rate hike controversy

3 1 Using a diagram, explain the transmission mechanism of monetary policy. **[10]**

and

3 2 Evaluate whether central bank independence has been successful in achieving macroeconomic objectives. **[20]**

Or,

UK economy shows signs of a persistent negative output gap

4 1 Explain what is meant by an output gap and how it might be identified. **[10]**

and

4 2 Evaluate the most appropriate policy response to a prolonged negative output gap. **[20]**

SECTION C

Answer **both** parts of **one** question from this section.

Either,

US-China trade tensions trigger a new round of tariffs on electric vehicles and semiconductors

5 1 With the aid of a diagram, explain the economic impact of a trade war on the global economy. **[10]**

and

5 2 Discuss whether protectionism can ever be economically justified in a modern interconnected economy. **[20]**

Or,

World Bank approves \$50bn debt relief for Highly Indebted Poor Countries (HIPC)

6 1 Explain the causes and consequences of unsustainable debt burdens in developing countries. **[10]**

and

6 2 Evaluate the extent to which debt relief is an effective strategy for promoting sustainable development. **[20]**